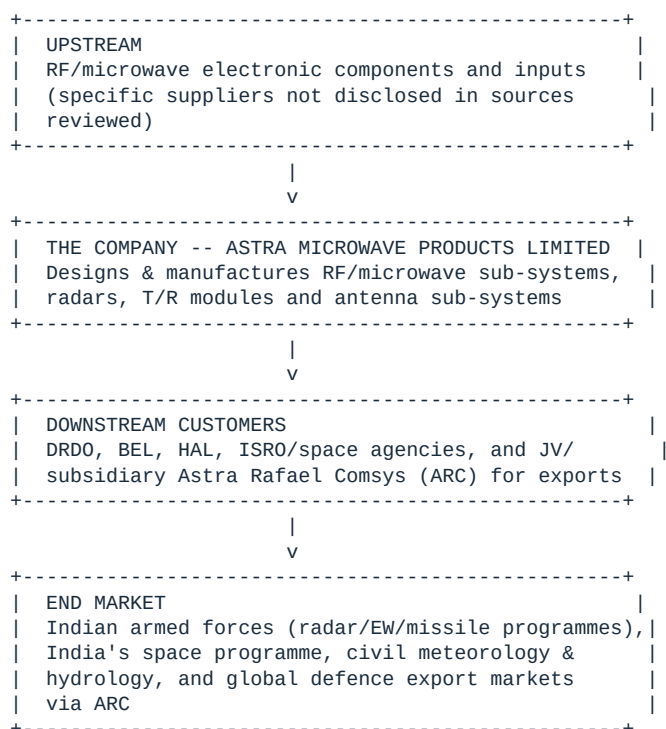


Astra Microwave Products Limited

Astra Microwave Products Limited designs, develops and manufactures RF (radio frequency) and microwave sub-systems and super-components used in defence, space, meteorology and civil communications. Incorporated in 1991 and listed on the BSE (532493) and NSE (ASTRAMICRO), the company has contributed to 35 radars, 25 satellites and roughly 15 strategic programmes to date. As of 10 July 2026 it had a market capitalization of approximately Rs. 17,125 crore (screener.in).

Value Chain Positioning

Astra sits as a sub-system/super-component supplier one tier below India's large defence platform integrators and government agencies — the specific upstream raw-material and electronic-component base was not detailed in the sources reviewed for this report. Downstream, its customers and counterparties (as named across its Q3 FY26 and Q4 FY26 concalls) include DRDO (the qualifying authority for its radar programmes), Bharat Electronics Limited (BEL), Hindustan Aeronautics Limited (HAL, in negotiation for the Uttam AESA radar and executing Su-30 Virupaksha/Angad upgrade work), and ISRO/India's space programme. Exports run through Astra Rafael Comsys (ARC), a joint venture/subsidiary with Rafael Advanced Defense Systems (Israel), which co-develops the RF portion of software-defined radios (SDRs) rather than the lower-value, offset-based export work Astra did historically.



Near Term (Next 1 to 2 Quarters)

- **FY26 Revenue Guidance Delivered** [Delivered]: FY26 standalone/consolidated turnover came in at Rs. 1,157 crore, which management confirmed matched the guidance issued at the start of the year. "As mentioned, we achieved turnover of INR1157 crores, delivering at par with the guidance given in the beginning of the year"
- **Near-Dated Flagship Programme Orders** [Pending]: The QRSAM contract (via BEL) is expected around June 2026, and the Uttam AESA radar order under negotiation with HAL is expected in Q2 or Q3 FY27. "as probably you're all aware with the BEL stated that, you know, they're expecting contract by June or so"... "we are expecting, you know, this particular order sometime in the Q2 or Q3"

Medium Term (6 to 12 Months)

- **FY27 Revenue Guidance** [Pending]: Management has planned standalone sales of Rs. 1,300-1,400 crore for FY27 (~15-20% YoY growth over FY26's Rs. 1,157 crore), split roughly 40% R&D and 60% production-area orders. "planned to book sales of INR1300 crores to INR1400 crores, that is around 15% to 20% growth compared to FY26, covering 40% of R&D and 60% from the production area"
- **ARC (JV) FY27 Growth Target** [Pending]: The JV/subsidiary Astra Rafael Comsys is guided to grow order booking and sales by a minimum of 50% in FY27, with sales expected to cross Rs. 600 crore versus Rs. 360 crore in FY26. "we expect the minimum growth of 50% both in terms of order booking and as well as sales. As on date, we have visibility of INR200 crores order book in FY27 for ARC and also expected to cross INR600 crores sales"

Long Term (1+ Years)

- **Multi-Year Revenue Tripling Target** [On Track]: First flagged on the Q3 FY26 call as ~Rs. 8,000-10,000 crore of new order booking and ~Rs. 7,500 crore-plus of cumulative sales over four years, and reiterated on the Q4 FY26 call as an expectation to nearly triple FY26's turnover within 4.5-5.5 years (i.e. by roughly FY30-31). "MV Reddy and SG Reddy are very confident of giving us a number of around INR8,000 crores to INR10,000 crores worth of new order booking and concurrent sales happening to the tune of about INR7,500 crores plus over the next 4 years themselves" (Q3 FY26); "structurally positioned to nearly triple its turnover over this period" (Q4 FY26)
- **Higher-Value Export Mix via ARC/Rafael Co-Development** [Pending]: Exports are shifting from older, lower-value offset-based work to RF co-development with Rafael on software-defined radios, which management says carries materially higher value-add. "these are the things where the RF portion of the SDRs are being co-developed between Rafael and Astra... the value add is much higher than the regular exports that were recorded"
- **Uttam AESA Radar DRDO Qualification** [Delayed]: The timeline for DRDO to qualify the Uttam AESA radar has slipped — from a "hopeful within 6 months" comment on the Q3 FY26 call (implying ~August 2026) to "FY28" on the Q4 FY26 call. "in maybe FY28, DRDO will be ready to qualify the overall radar" / "next FY28 I think radar should be get qualified"

Marquee & Niche Customers

- **DRDO**: The qualifying/certifying authority and customer for Astra's flagship radar programmes, including QRSAM and the Uttam AESA radar. (Source: Q3 FY26 and Q4 FY26 concalls)
- **Bharat Electronics Limited (BEL)**: Counterparty for a QRSAM-linked contract expected around June 2026. (Source: Q4 FY26 concall, 27 May 2026)
- **Hindustan Aeronautics Limited (HAL)**: In negotiation for the Uttam radar order (expected Q2/Q3 FY27); also the platform integrator for the Su-30 Virupaksha and Su-30 Angad upgrade programmes Astra supplies into. (Source: Q4 FY26 concall, 27 May 2026)
- **ISRO / India's space programme**: Named directly in the Q4 FY26 concall as an order source, consistent with the company's disclosed contribution to 25 satellites to date. (Source: Q4 FY26 concall, 27 May 2026; company profile)
- **Astra Rafael Comsys (ARC)**: Joint venture/subsidiary with Rafael Advanced Defense Systems (Israel) — the vehicle for RF-co-developed SDR exports. (Source: Q4 FY26 concall, 27 May 2026)

No customer-concentration percentage (e.g. "top 5/10 customers = X% of revenue") was disclosed in the sources reviewed. **Customers' own guidance**: DRDO, BEL, HAL and ISRO are government/PSU entities that do not publish the kind of forward capacity or demand guidance a private-sector OEM customer might; no independently disclosed guidance was found for any of them in the sources reviewed for this report.

Capex, Milestones & Certifications Timeline

Date/Quarter	Milestone	Status	Amount	Source
FY21 → FY26	R&D spend raised from Rs. 23cr (FY21) to Rs. 58cr (FY26)	Achieved	Rs. 58cr (FY26)	Q4 FY26 investor presentation coverage
Ongoing	ISO 9001, ISO 14001, ISO 45001, ISO 27001 certification	Achieved	—	Concall transcript letterhead, Q3 FY26 & Q4 FY26
Recurring, every year	Routine capacity-augmentation capex; management said no major incremental capex is needed beyond this to support the multi-year revenue target	On-track (ongoing)	~Rs. 40-50cr/year	Q4 FY26 concall, 27 May 2026
~Aug 2026, now pushed to FY28	DRDO qualification of the Uttam AESA radar	Delayed	—	Q3 FY26 → Q4 FY26 concalls (see Long Term outlook)
Board approved 10 Jun 2026	In-principle demerger of the Space, Meteorology and Hydrology business into a new entity (ASTPL), 1:1 share entitlement to existing shareholders	Planned — pending share holder/regulatory/NCLT approval	—	Company disclosure, 10 Jun 2026
Effective 1 Oct 2026	MD transition: Dr. M. V. Reddy (currently Joint MD) to become Managing Director; Mr. S. Gurunatha Reddy steps down 30 Sep 2026	Planned	—	Company disclosure
29 Dec 2026 (deadline)	Conversion window closes for the June 2025 promoter warrant issue	Pending — no conversions yet as of the Q4 FY26 filing	—	See Promoter Fund Raises below

Financial Performance Summary

Fiscal Year	Revenue (Rs. cr)	YoY Growth	EBITDA Margin	PBT (Rs. cr)	PAT (Rs. cr)	PAT Margin
FY22	750	—	12%	50	38	5.1%
FY23	816	+8.8%	18%	96	70	8.6%
FY24	909	+11.4%	21%	159	121	13.3%
FY25	1,051	+15.6%	26%	204	154	14.7%
FY26	1,163	+10.7%	29%	261	193	16.6%

Source: screener.in consolidated results. Revenue, PBT and PAT have compounded at a strong pace over the last five years, with EBITDA margin expanding from 12% to 29%.

Segment-wise Performance

Astra does not publish a formal Ind AS 108 revenue-segment table on screener.in, but management has disclosed segment splits informally on two different bases, for two different periods — shown as separate tables rather than blended into one:

Table 1 — FY26 full year, by product line (Q4 FY26 concall, 27 May 2026):

Segment	% of FY26 Revenue
Radar	~60%

Segment	% of FY26 Revenue
Space & Meteorology	~16%
Other (exports and remainder, not separately quantified on the call)	not disclosed

Table 2 — Q4 FY26 quarter only, by end-market (investor-presentation coverage, 26-27 May 2026):

Segment	% of Q4 FY26 Revenue
Defence	58.4%
Space	19.5%
Exports	16.9%

YoY growth and segment margin were not separately disclosed for either basis, so those columns are omitted rather than estimated.

Order Book

As-of Date	Order Book (Rs. cr)	Basis	Composition	Source
31 Dec 2025	2,226	Standalone	Not broken out on this call	Q3 FY26 concall, 13 Feb 2026
31 Mar 2026	2,141	Standalone	By order type: Production 58.1% / Development 17.2% / Export 16.3%. By end-market: Defence/PSU ~54% / Exports ~33%	Q4 FY26 investor presentation, 26-27 May 2026
31 Mar 2026	2,610 (incl. Rs. 231cr service orders)	Consolidated	Not broken out separately from the standalone composition above	Q4 FY26 investor presentation, 26-27 May 2026
FY26 close	625	Astra Rafael Comsys (ARC) — JV/subsidiary, reported separately	Not broken out	Q4 FY26 concall, 27 May 2026

Orders received in the Q4 FY26 quarter alone totaled Rs. 403cr, including major radar-system orders worth Rs. 300.3cr for BEL, ARC, IMD and DRDO (Source: Q4 FY26 investor presentation) — this is a quarterly inflow figure, distinct from the cumulative order-book levels above.

Manufacturing Locations & Physical Assets

Unit	Location
Unit 1	Plot No. 12, ANRICH Industrial Estate, Bollaram, Medak Dist., Telangana
Unit 2	Plot No. 56A, ANRICH Industrial Estate, Bollaram, Medak Dist., Telangana
Unit 3	Sy. No. 1/1, Imarath Kancha, Raviryala, Maheshwaram, R.R. Dist., Telangana
Unit 4	Sy. No. 1/1, Plot No. 18-21, Imarath Kancha, Hardware Park, Raviryala, Maheshwaram, R.R. Dist., Telangana
Unit 7	Sy. No. 114/1, Plot No. S-2/9 & 10, E-City, Raviryala & Srinagar, Maheshwaram, R.R. District, Telangana
R&D Centre	Plot No. 51(P), Bangalore Aerospace Park, Singanahalli Village, Budigere Post, Bangalore North Taluk, Karnataka

Source: concall transcript letterhead (Q3 FY26 and Q4 FY26), which lists these addresses but does not disclose owned-vs-leased status, built-up area, or the specific product line housed at each unit — that level of detail was not found in the sources reviewed. Separately, third-party directory listings (IndiaMART) describe the company as AS9100D certified for aerospace manufacturing with a dedicated radar integration and testing facility in Bangalore; this was not independently corroborated in the primary sources reviewed for this report.

Capacity Utilization & Headroom

No capacity utilization percentage, or the installed-capacity/units-produced inputs needed to derive one, was disclosed in the sources reviewed. As related color: management indicated on the Q4 FY26 call that no major incremental capex is planned beyond the usual ~Rs. 40-50cr/year augmentation to support the multi-year revenue-tripling target, which implies confidence in headroom within the existing five-unit footprint — but this is management's own framing, not a stated utilization figure, and should not be read as equivalent to one.

Total Addressable Market (TAM)

Two different TAM figures for materially the same window were disclosed roughly three months apart:

- **Q3 FY26 concall (13 Feb 2026):** ~Rs. 24,000-25,000 crore addressable opportunity "till financial year '28" (per the investor presentation referenced on that call).
- **Q4 FY26 concall (27 May 2026):** ~Rs. 28,000 crore total addressable opportunity for FY26 to FY28.

When asked about the Rs. 3,000-4,000 crore increase between the two figures, management said "the total accessible market remained same, but only there is a shift in the year" — i.e., attributing the change to programme timing shifts rather than a genuine expansion in market scope. No specific TAM-capture percentage target with its own timeline was disclosed in the sources reviewed.

Valuation — Forward PE

Input	Value	Source/Basis
Revenue guidance	Rs. 1,350cr	Midpoint of FY27 guidance (Rs. 1,300-1,400cr), Q4 FY26 concall (27 May 2026)
PAT margin used	16.6%	Assumed — trailing FY26 actual consolidated PAT margin (Rs. 193cr PAT / Rs. 1,163cr revenue); management gave no explicit FY27 margin guidance
Shares outstanding	9.5cr	Equity capital (Rs. 19cr) ÷ face value (Rs. 2)
Forward EPS	Rs. 23.58	Revenue guidance × margin ÷ shares
Price	Rs. 1,804	Current market price (screener.in, 10 Jul 2026)
Forward PE	76.5x	Price ÷ Forward EPS

Forward PE of 76.5x is arithmetic on management's own FY27 revenue guidance and a trailing-margin assumption (not a management-guided margin), not a valuation call.

Industry Tailwinds / Headwinds

Tailwinds

- **Rising defence capex and localisation push:** India's defence capital spending rose an estimated 22% for FY26-27, and the revised Defence Acquisition Procedure (DAP) 2026 pushes localisation of radar sub-systems for indigenous aircraft — a direct tailwind for RF/microwave sub-system suppliers. (Source: sector coverage, Feb-Jul 2026)

- **Rising DRDO R&D funding for AESA radar technology:** reported up 12.4% in the FY26-27 budget, supporting the technology roadmap Astra's own AESA radar programme depends on. (Source: sector coverage, Jan 2026)
- **Broad-based sector order inflow:** peers including BEL, HAL, Bharat Dynamics and Zen Technologies are all reporting strong order inflows, indicating a sector-wide, multi-year order-book cycle rather than an Astra-specific phenomenon. (Source: sector coverage, Feb-Jul 2026)

Headwinds

- **Execution, not demand, is the binding constraint:** sector commentary describes an "order book-loaded defence sector" that now needs an "execution pick-up," i.e. delivery and manufacturing throughput risk rather than order-intake risk. (Source: Business Standard, 8 Jul 2026)
- **Government/DPSU programme timelines are structurally prone to slippage** — directly evidenced by Astra's own DRDO radar-qualification delay (see Long Term outlook above), a feature of the defence-order business generally rather than company-specific mismanagement.

Technical Snapshot

(As of approximately 1-10 July 2026 — this section goes stale within days; re-check before relying on it if this report is more than a week old.)

- Current price: Rs. 1,804 (screener.in, 10 Jul 2026), close to the all-time high of Rs. 1,789.55 recorded 1 Jul 2026.
- Price trading above the 5, 20, 50, 100 and 200-day moving averages.
- MACD bullish on both weekly and monthly charts.
- Weekly RSI: neutral. Monthly RSI: mild bearish divergence.
- Support: 52-week low of Rs. 835.90. Resistance: the 20-day moving average area (~Rs. 1,534) and the recent all-time high.

Promoter / Governance Track Record

Only one guidance-vs-actual cycle has been logged for this company so far (FY26 revenue, which was delivered at-par) — there is not yet enough history to characterize a pattern of beats or misses either way.

Shareholding and leadership: Promoter shareholding has declined from 15.80% (Mar 2017) to 6.54% (Mar 2026), per screener.in's shareholding pattern; no share pledge is shown. No explanation for this multi-year decline was found in the sources reviewed — the fact is stated without speculation on cause. Separately, a leadership transition is scheduled: Mr. S. Gurunatha Reddy steps down as Managing Director effective 30 September 2026, with Dr. M. V. Reddy (currently Joint Managing Director) taking over effective 1 October 2026.

Promoter Fund Raises: One raise is on record. In June 2025, the company allotted warrants worth Rs. 173.99cr to promoter/promoter-group allottees (including Prakash Anand Chitrakar, Renuka Chitrakar, Gopikishan Damani and Atim Kabra) at Rs. 864 per warrant, with 25% (Rs. 43.49cr) paid upfront and the remaining 75% (Rs. 130.50cr) due on conversion. The warrants are 52.1% below the current market price of Rs. 1,804 (10 Jul 2026) — reflecting the stock's appreciation since the June 2025 issue date, not necessarily a discount at the time of issue. As of the most recent (Q4 FY26, March 2026) monitoring filing, no conversions had occurred; the conversion window remains open until 29 December 2026. Status: pending, not lapsed — worth re-checking on the next refresh of this report.

Credit Rating Snapshot: CRISIL rates Astra's long-term bank facilities (enhanced to Rs. 1,536.5cr) at A/Positive, short-term facilities at A1, and the corporate credit rating at A/Positive. The outlook was revised to Positive from Stable on 11 December 2025 (having been reaffirmed at A/Stable on 3 July 2025) — citing an established defence-segment market position, medium-term revenue growth of 13-14%, operating margin improving to 24-25%, gearing below 0.5x and interest coverage above 5x through FY26, and comfortable liquidity. No downgrade or negative/watch-negative outlook is currently in force for any rated instrument.

Legal & Litigation: No litigation, tax dispute, or regulatory/arbitration matter was found for Astra Microwave Products in the sources reviewed for this report — this is stated as a gap in available sourcing (the annual report's

contingent-liabilities note could not be directly retrieved in this run) rather than a confirmation that no such matters exist.

Key Risks

- **Programme-execution/timeline risk:** The Uttam AESA radar's DRDO qualification has already slipped from a "hopeful within 6 months" comment (Feb 2026) to "FY28" (May 2026) — a concrete instance of the sector-wide execution risk noted in Industry Headwinds, and a direct dependency for the Rs. 7,500cr+ four-year sales target.
- **Very low, declining promoter holding:** Promoter shareholding has fallen from 15.80% (Mar 2017) to 6.54% (Mar 2026) — among the lower promoter stakes for a company of this scale — with no disclosed explanation for the multi-year decline found in the sources reviewed.
- **Pending warrant dilution:** Rs. 130.50cr (75%) of the June 2025 promoter warrant issue remains unconverted, with a conversion deadline of 29 December 2026; full conversion would add further equity dilution.
- **Demerger execution uncertainty:** The Space/Meteorology/Hydrology demerger into ASTPL is only board-approved in-principle and subject to shareholder/regulatory/NCLT sign-off, with post-demerger standalone economics for either entity not yet disclosed.
- **Programme concentration:** Management itself frames the multi-year growth target as resting on "just five to six programs" (QRSAM, Uttam radar, Su-30 Virupaksha, Su-30 Angad, JV/ARC business, and electronic mines) — a relatively narrow set of large, discrete defence programmes whose individual timing/award risk each carry outsized weight.

Research summary of publicly available information only — concall transcripts, screener.in, CRISIL rating rationales, and third-party news/sector coverage as cited inline. Forward PE is arithmetic on a management estimate, not a valuation call. This is not investment advice; consult a SEBI-registered investment advisor before making any financial decision.